Safar Motor Policy

Comprehensive policy for private cars, issued by Kavach General Insurance Ltd. This is a fictional policy written for a software demonstration. It is not an offer of insurance.

1. What is covered

Section I, own damage: loss of or damage to the insured car caused by fire, explosion, self-ignition, lightning, burglary, theft, riot, strike, flood, cyclone, earthquake, landslide or accidental external means, and while in transit by road, rail, inland waterway, lift or air.
Section II, third party liability: your legal liability for death or bodily injury to any person, without limit, and for damage to third party property up to Rs 7,50,000.
Section III, personal accident cover for the owner-driver: Rs 15,00,000 for death or permanent total disability while driving the car, or while getting into or out of it.

2. Insured Declared Value (IDV)

The IDV is the manufacturer's listed selling price less depreciation for the age of the car: up to 6 months old, 5%; 6 months to 1 year, 15%; 1 to 2 years, 20%; 2 to 3 years, 30%; 3 to 4 years, 40%; 4 to 5 years, 50%. For cars older than 5 years, the IDV is agreed between you and us. For a total loss or theft, we pay the IDV.

3. Deductibles and depreciation on parts

3.1 Compulsory deductible for each own damage claim: Rs 1,000 for cars with an engine up to 1500 cc, and Rs 2,000 for cars above 1500 cc.
3.2 Depreciation on parts replaced after a partial loss: rubber, nylon and plastic parts, tyres, tubes and batteries, 50%; fibre glass parts, 30%; glass parts, nil; metal parts on a sliding scale from nil for cars up to 6 months old to 40% for cars more than 10 years old.
3.3 Zero depreciation add-on: with this add-on we do not deduct depreciation on replaced parts, for up to two claims in a policy year. It can be bought for cars up to 5 years old.

4. Exclusions

We do not pay for:
4.1 Damage while the car is driven by a person without a valid driving licence.
4.2 Damage while the driver is under the influence of alcohol or drugs.
4.3 Normal wear and tear, mechanical or electrical breakdown, and consequential loss.
4.4 Damage outside India, damage from war or nuclear risks, or damage while the car is used for racing, speed testing or reliability trials.
4.5 Use of the car for hire or reward, unless it is registered for commercial use.
4.6 Damage to tyres and tubes alone, unless the car is damaged in the same accident.

5. Making a claim

5.1 Tell us about any accident within 7 days, and before you start repairs. Our surveyor may inspect the car.
5.2 Theft: file an FIR with the police within 24 hours and tell us within 48 hours. We settle a theft claim when the police issue a non-traceable report, or 90 days after the FIR, whichever is earlier.
5.3 Cashless repairs are available at our network garages. At any other garage you pay the bill and we reimburse the approved amount.
5.4 Towing the car to the nearest garage after an accident is reimbursed up to Rs 1,500 per accident.

6. No claim bonus

For each claim-free year your own damage premium is reduced: 20% after one claim-free year, 25% after two, 35% after three, 45% after four, and 50% after five or more consecutive claim-free years. The bonus belongs to you, not to the car: when you sell your car you can transfer the bonus to your next car within 90 days.

7. Add-ons you can buy

7.1 Roadside assistance: flat tyre help, battery jump start, fuel delivery of up to 5 litres and a 24x7 helpline.
7.2 Engine protect: damage to the engine from water getting in or oil leaking out.
7.3 Return to invoice: on a total loss or theft, pays the gap between the IDV and the invoice price.
7.4 Key replacement: up to Rs 10,000 for lost or stolen keys.

8. Cancellation

You may cancel the policy by writing to us. If no claim has been made, we refund the own damage premium for the unused period on a short period scale. The third party premium is not refunded unless you prove that the car is insured elsewhere.